Format of common-size statement

Particulars	Absolute amount	Percentage

Illustration 6

From the following particulars of Kumar Ltd, prepare a common-size income statement for the year ended 31st March, 2018.

Particulars	2017-18
	₹
Revenue from operations	5,00,000
Other income	20,000
Expenses	3,00,000

Solution

Common-size income statement of Kumar Ltd for the year ended 31st March, 2018

Particulars	Absolute amount	Percentage of revenue from operations
	₹	
Revenue from operations	5,00,000	100
Add: Other income	20,000	4
Total revenue	5,20,000	104
Less: Expenses	3,00,000	60
Profit before tax	2,20,000	44

Note: Computation of percentage for other income

$$\frac{20,000}{5,00,000} \times 100 = 4\%$$

Illustration 7

From the following particulars of Mani Ltd an Kani Ltd prepare a common-size income statement for the year ended 31st March, 2019.

Particulars	Mani Ltd	Kani Ltd
	₹	₹
Revenue from operations	2,00,000	2,50,000
Other income	30,000	25,000
Expenses	1,10,000	1,25,000

12th-Accountancy-Unit-08.indd 276 12/9/2021 10:52:32 PM